

**RESEARCH & INSIGHTS HUB**

# Crypto's AI Mirage

Decentralized crypto-AI applications face a number of headwinds in the short to medium term that could hinder their adoption. However, the constructive narrative around crypto and AI more broadly could sustain the trading narrative for some time.

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Continued AI breakthroughs, particularly in generative AI, have resulted in heightened attention on the AI industry in recent years and present an opportunity for crypto projects that sit at the intersection between the two. We previously [covered](#) some possibilities for the industry in an earlier report in June 2023, noting that the overall capital allocation in crypto appeared under-indexed on AI. The crypto-AI space has since grown tremendously, and we think it's important to highlight certain practical challenges that could stand in its path to widespread adoption.

We think the AI market is still overall in its nascency and are cautious of bold claims that crypto-based platforms are uniquely positioned to disrupt the industry. Rapid changes in AI makes the path towards long-term and sustainable value accrument to many AI tokens uncertain in our view. On the contrary, we believe some of the emerging trends in the AI sector could actually make it more difficult for AI-crypto products to gain adoption amidst broader market competition.

That said, we believe the intersection between AI and crypto is wide-ranging and has varying opportunities. Certain sub-sectors may see a more rapid pace of adoption, though many such areas have received undersized attention in our view, due to a lack of tradeable tokens. Still, that does not appear to have hampered investor appetite. Many AI tokens have outperformed starting in 4Q23, with their performance supported by AI market headlines even on days where bitcoin trades

lower. Thus, we believe that many AI-related tokens could continue to be traded as a proxy to broader AI progress.

For more details, see our [full report](#).

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